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RBI MPC MEET

NO SURPRISES

The RBI has kept rates unchanged as it looks to bring inflation down to its 4% target; it has also proposed allowing cash deposits via UPI

BY TEENA JAIN KAUSHAL

► **THE RESERVE BANK** of India (RBI), in its maiden Monetary Policy Committee (MPC) meeting of financial year 2024-25, kept the repo rate unchanged at 6.5% as it sought to maintain its focus on strengthening the economy. This is the seventh consecutive policy meeting where it has chosen to keep the policy repo rate unchanged. That's because it is treading cautiously since retail inflation has remained above its 4% target, though it was well within the 2% margin at 5.09% in February. Besides, it is also

keeping an eye out on the geopolitical tensions in the Middle East.

Inflation was the 'elephant in the room' two years ago, RBI Governor Shaktikanta Das said at the post-policy press conference on April 5. "The elephant has now gone out for a walk and appears to be returning to the forest. We would like the elephant to return to the forest and remain there on a durable basis."

But those expecting a rate cut might have to wait a bit longer, experts say. "If rural demand strength-

ens and there are no adverse surprises in inflation, private consumption is expected to rise, further aiding growth. However, rate cuts remain dependent on announcements by global central banks and the CPI-based inflation aligning with RBI's 4% target on a sustained basis," says Raghvendra Nath, MD of Ladderup Wealth Management.

The expectation now is for cuts towards the end of this year, when inflation moderates and food inflation is within expected parameters.